

RISK OF CLUBBING SPOUSAL INCOME

► The risk of attracting the clubbing is lowest when the spouse is a homemaker

SCENARIO	DESCRIPTION	TAX BENEFIT	RISK OF CLUBBING*
Transfer for personal expenses	Spouse is homemaker, money used for household needs	None	Low
Invest in spouse name (separate accounts)	Spouse has lower tax bracket	Lower taxes on investment income	Moderate
Loan with interest	Documented loan with reasonable interest	None	Low (High if interest waived later)
Gifting	Gifts received from spouse less than or equal to ₹50,000	Tax exempt	Low (Moderate if income is generated from the gifting amount)

SOURCE BT RESEARCH; *CLUBBING OF INCOME IS DONE TO PREVENT THE TRANSFER OF INCOME TO FAMILY MEMBERS OR RELATED PARTIES TO MINIMISE THE TRANSFEROR'S TAX LIABILITY.

76 |



SURESH SURANA
FOUNDER,
RSM INDIA

“WHILE HUFs OFFER SOME LEVEL OF ASSET PROTECTION, THEY ARE NOT IMMUNE TO PARTITION RISKS. DISPUTES... CAN LEAD TO PARTITION, RESULTING IN THE DIVISION OF ASSETS”

This entity can also run a business, generate income, and invest its funds in shares, stocks, mutual funds, real estate, and other asset types. Its asset pool may include gifts, assets received through inheritance, and those pooled by its members. However, individuals who are part of the HUF will not be eligible for any tax relief on additional income from pooling the assets, like interest earned from them.

Additionally, an HUF enjoys basic exemptions like individual tax deductions under provisions like sections 80, 80D, and 80DDB of the I-T Act. Further, a member of an HUF can avail of a 100% exemption on any income received from business done by their HUF, which is taxable in the hands of the HUF.

HUFs can also obtain bank loans to purchase residential property and give loans to their members on mutually agreed-upon terms.

But transferring property to an HUF imposes certain restrictions. For instance, the property can be transferred only with the consent of all the claimants or by the eldest member of the family, who alone can dispose of it. However, a coparcener, or an HUF member who holds inheritance rights to the property, can challenge this. Besides, if a minor is involved, then a court's permission is required for disposing of the property.

Plus, managing an HUF can be a complex affair, involving legal formalities, separate accounts, and compliance with tax laws. Surana says, “While HUFs offer some level of asset protection, they are not immune to partition risks. Disputes among coparceners or changes in family dynamics can lead to partition, resulting in the division of assets. Though it is notable that there shall not be any income tax implication in the case of full partition under the I-T Act.”

OTHER WAYS AND MEANS

There are other provisions in the I-T Act that help married taxpayers maximise their tax savings.

Gifts received under some circumstances are also tax-free. For instance, gifts received from a spouse, those that are valued at or below ₹50,000, or as the result of a bequest excluding rental or other income earned from them, are free of tax. Additionally, gifts received in contemplation of the death of the donor, from a registered trust, or any money or property received at the time of the partition of HUF are also tax-free.

“Section 56(2)(x) of the I-T Act provides tax implications on any sum of money or property received by an individual or HUF without consideration or in cases that involve the transfer of property for inadequate consid-